

Number found. I found V-bottoms as early as July 1991 and as recent as June 2019, but not all 969 stocks where I found the pattern covered the entire period and some no longer trade.

Reversal (R), continuation (C) occurrence. Most of the V-bottoms will act as reversals of the downward inbound trend (when price breaks out upward, reversing the downtrend). Continuations appear on the chart as a sharp retrace in a rising price trend. Price rises into the start of the chart pattern and leaves it moving upward, too.

Table 69.2 General Statistics

Description	Bull Market	Bear Market
Number found	1,997	1,678
Reversal (R), continuation (C) occurrence	64% R, 36% C	69% R, 31% C
Reversal, continuation performance	38% R, 41% C	32% R, 32% C
Average rise	40%	32%
Standard & Poor's 500 change	8%	5%
Days to ultimate high	74	47
How many change trend?	53%	50%

Reversal/continuation performance. Upward breakouts in bull markets show continuation patterns outperform reversals, but bear market results are split evenly. For the best performance, look for a V-bottom in an upward price trend.

Average rise. As one would expect, the average rise in bull markets beat the performance in bear markets, even though V-bottoms in both have upward breakouts. This agrees with the old saw, trade with the trend.

As low as the bear market value is, recall that it places fifth in performance when compared to other bear market chart patterns. I measured the average rise from the *breakout price* to the ultimate high (meaning I didn't use the bottom of the V in the measure).

Standard & Poor's 500 change. The performance of the index can't come close to the rise after the breakout from a V-bottom. I used the same